
HFD DATAVITA LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2025

HFD DATAVITA LIMITED

COMPANY INFORMATION

Directors	Mr W D Hill Mr G A Logie Mr D Quinn
Registered number	SC467509
Registered office	177 Bothwell Street Glasgow Scotland G2 7ER
Independent auditor	Johnston Carmichael LLP Statutory Auditor 227 West George Street Glasgow United Kingdom G2 2ND

HFD DATAVITA LIMITED

CONTENTS

	Page
Strategic Report	1 - 2
Directors' Report	3 - 4
Independent Auditor's Report	5 - 8
Statement of Comprehensive Income	9
Balance Sheet	10
Statement of Changes in Equity	11
Notes to the Financial Statements	12 - 25

**STRATEGIC REPORT
FOR THE YEAR ENDED 30 JUNE 2025**

The directors present their Strategic Report for the period ended 30 June 2025.

Business review

DataVita delivered strong operational and financial performance during the period, supported by sustained growth in its customer base, which translated into increased turnover and operating profit. Investment in the company's Tier III data centre remained significant, while its secondary city centre facility also demonstrated encouraging growth.

During the year, DataVita—working in collaboration with key stakeholders—submitted an Expression of Interest to participate in the UK Government's initiative to establish Artificial Intelligence (AI) Growth Zones. Following this process, the company's existing Tier III data centre and surrounding development land were formally designated by the Department for Science, Innovation and Technology (DSIT) as part of the UK AI Growth Zone programme, creating Scotland's first AI Growth Zone. The AI Growth Zone will enable up to 500 MW of AI ready data centre capacity, with the potential to attract approximately £8.2 billion of private investment into North Lanarkshire and the wider region. As part of this initiative, the first phase of build out represents a capital commitment of £112 million, which will fully enable 16 MW of AI grade capacity at DataVita's existing Tier III data centre. This significant commitment underscores both the scale of the opportunity and the confidence placed in DataVita's platform. The designation highlights the national strategic importance of the site and its capability to support large scale AI and high performance computing (HPC) infrastructure. CoreWeave Inc. has been confirmed as DataVita's strategic partner for the initial phase of the AI Growth Zone build out, supporting the expansion of specialist compute capacity across the designated zone.

After the balance sheet date, DataVita secured a £44.9 million partnership with Glasgow City Council to modernise and maintain the city's digital infrastructure. In addition, the company entered into a strategic partnership with University College London (UCL) to host its new £19.5 million supercomputer, further reinforcing DataVita's status as a leading provider of large scale, high performance compute infrastructure.

The Board believes that Datavita is exceptionally well positioned to benefit from the AI Growth Zone designation and its widening portfolio of strategic partnerships. This confidence is underpinned by DataVita's scalable data centre platform, the complementary renewable energy capabilities of the group's Renewables division, and continued strong demand for data centre and AI grade capacity across the UK and Europe. The directors remain confident in the group's resilience, financial strength, and ability to navigate potential macroeconomic headwinds.

Principal risks and uncertainties

Health, safety and environmental risk

The Company is subject to stringent health, safety and environmental regulations. Accordingly, the provision of adequate training is a top priority and every precaution is taken to minimise risk in this area.

Revenue risk

The Company has developed key relationships with customers. The Company continues to focus on building relationships with existing and potential customers and always performs to a high standard in order to minimise the risk of losing a trading customer. The Company is constantly seeking development opportunities and increase the number of third party customers in order to manage this risk.

Credit risk

The Company's principal financial assets trade debtors. The Company's credit risk is primarily attributed to its trade debtors. The amounts presented in the balance sheet are net of allowances for doubtful receivables. The Company has no significant concentration of credit risk, with exposure spread over large number of counter parties and customers. The Company manages credit risk through its credit control procedures and review process.

STRATEGIC REPORT (CONTINUED)
FOR THE YEAR ENDED 30 JUNE 2025

Competitive risk

The Company operates in a competitive industry. The Company continues to focus on building key relationships with our customers and providing a quality service to distinguish ourselves from our competitors. The Company manages the risk of competition through providing the highest quality of services and maintaining excellent relationships.

Liquidity risk

The Company manages its liquidity risk through the day-to-day management of working capital. Forecast and budgets are in place and performance monitored on a regular basis to ensure that cash requirements are met and that liabilities can be paid as the fall due.

Going concern

The directors believe that the Company has adequate resources to continue in operational existence for the foreseeable future and accordingly, the going concern basis has been adopted in preparing the financial statements

Financial key performance indicators

The directors use a number of indicators to monitor and improve the position of the business. These indicators include profitability, cashflow and Earnings Before Interest, Tax, Depreciation and Amortisation (EBITDA).

KPI	2025	2024
Gross Profit Margin	53.8%	46.1%
Operating Profit Margin	10.1%	10.6%
Cash Position	£5,126,861	1,018,286
EBITDA	£2,723,052	£2,641,134

This report was approved by the board and signed on its behalf.

Mr W D Hill

Director

Date: 6 March 2026

**DIRECTORS' REPORT
FOR THE YEAR ENDED 30 JUNE 2025**

The directors present their report and the financial statements for the year ended 30 June 2025.

Directors' responsibilities statement

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Principal activity

The principal activity of the company continued to be that of the provision of co-location, connect and cloud infrastructure services to organisations across the United Kingdom. The company owns and operates data centres in the UK.

Results and dividends

The profit for the year, after taxation, amounted to £244,708 (2024 - £504,211).

No dividends were paid during the year.

Directors

The directors who served during the year were:

Mr W D Hill
Mr G A Logie
Mr D Quinn

HFD DATAVITA LIMITED

DIRECTORS' REPORT (CONTINUED) FOR THE YEAR ENDED 30 JUNE 2025

Future developments

Datavita is committed to continuous innovation and strategic growth. The company is actively exploring new opportunities to enhance its market presence and drive increased sales volume. This includes expanding service offerings, entering new markets, and strengthening partnerships across key industry sectors. By leveraging emerging technologies and aligning closely with evolving customer needs, Datavita aims to deliver long-term value and sustainable business growth.

Disclosure of information to auditor

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the Company's auditor is unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Post balance sheet events

A professional valuation of Fortis Data Centre was undertaken by Knight Frank on 12 December 2025.

The valuation concluded an uplift in the asset's market value, resulting in a revised valuation of £69,600,000 as at the valuation date.

The Company entered into a capital commitment of approximately £112.0 million in respect of the expansion of its data centre facilities. As this commitment was entered into after the reporting date, no amounts have been recognised in these financial statements

On 2 March 2026, subsequent to the year ended 30 June 2025, the Company entered into a £25m finance agreement comprising of a £20m term loan facility and a £5m uncommitted facility.

Amounts drawn bear interest at 4.25% + Bank of England Base Rate and are repayable in 4 months..

As the facility was entered into and drawn after the reporting date and does not relate to conditions existing at that date, it is treated as a non-adjusting post balance sheet event under Section 32 of FRS 102. No adjustment has been made to these financial statements.

Auditor

The auditor, Johnston Carmichael LLP, will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf.

Mr W D Hill

Director

Date: 6 March 2026

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HFD DATAVITA LIMITED

Opinion

We have audited the financial statements of HFD Datavita Limited (the 'Company') for the year ended 30 June 2025, which comprise the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the related notes, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 30 June 2025 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the United Kingdom, including the Financial Reporting Council's Ethical Standard and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HFD DATAVITA LIMITED (CONTINUED)

Other information

The other information comprises the information included in the Annual Report other than the financial statements and our Auditor's Report thereon. The directors are responsible for the other information contained within the Annual Report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinion on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the Strategic Report or the Directors' Report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the Directors' Responsibilities Statement set out on page 3, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HFD DATAVITA LIMITED (CONTINUED)

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an Auditor's Report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our Auditor's Report.

Extent to which the audit was considered capable of detecting irregularities, including fraud

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

We assessed whether the engagement team collectively had the appropriate competence and capabilities to identify or recognise non-compliance with laws and regulations by considering their experience, past performance and support available.

All engagement team members were briefed on relevant identified laws and regulations and potential fraud risks at the planning stage of the audit. Engagement team members were reminded to remain alert to any indications of fraud or non-compliance with laws and regulations throughout the audit.

We obtained an understanding of the legal and regulatory frameworks that are applicable to the company and the sector in which it operates, focusing on those provisions that had a direct effect on the determination of material amounts and disclosures in the financial statements. The most relevant frameworks we identified include:

- Companies Act 2006;
- UK Corporation Tax
- UK Generally Accepted Accounting Practice.

We gained an understanding of how the company is complying with these laws and regulations by making enquiries of management and those charged with governance. We corroborated these enquiries through our review of submitted returns, external inspections, relevant correspondence with regulatory bodies and board meeting minutes.

We assessed the susceptibility of the financial statements to material misstatement, including how fraud might occur, by meeting with management and those charged with governance to understand where it was considered there was susceptibility to fraud. This evaluation also considered how management and those charged with governance were remunerated and whether this provided an incentive for fraudulent activity. We considered the overall control environment and how management and those charged with governance oversee the implementation and operation of controls. In areas of the financial statements where the risks were considered to be higher, we performed procedures to address each identified risk. We identified a heightened fraud risk in relation to:

- Management override of controls
- Revenue recognition

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HFD DATAVITA LIMITED (CONTINUED)

Extent to which the audit was considered capable of detecting irregularities, including fraud (continued)

In addition to the above, the following procedures were performed to provide reasonable assurance that the financial statements were free of material fraud or error:

- Reviewing minutes of meetings of those charged with governance for reference to: breaches of laws and regulation or for any indication of any potential litigation and claims; and events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud;
- Reviewing the level of and reasoning behind the company's procurement of legal and professional services;
- Performing audit procedures over the risk of management override of controls, including testing of journal entries and other adjustments for appropriateness, evaluating the business rationale of significant transactions outside the normal course of business and assessing judgements made by management in their calculation of accounting estimates for potential management bias;
- Performing audit work procedures over revenue recognition including testing a sample of revenue nominal entries to source documentation and settlement of invoice to prove occurrence of revenue.
- Completion of appropriate checklists and use of our experience to assess the company's compliance with the Companies Act 2006; and
- Agreement of the financial statement disclosures to supporting documentation.

Our audit procedures were designed to respond to the risk of material misstatements in the financial statements, recognising that the risk of not detecting a material misstatement due to fraud is higher than the risk of not detecting one resulting from error, as fraud may involve intentional concealment, forgery, collusion, omission or misrepresentation. There are inherent limitations in the audit procedures performed and the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely we would become aware of it.

Use of our report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an Auditor's Report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

James Hamilton (Senior Statutory Auditor)

for and on behalf of

Johnston Carmichael LLP

Statutory Auditor

227 West George Street
Glasgow
United Kingdom
G2 2ND

6 March 2026

HFD DATAVITA LIMITED

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2025

	Note	2025 £	2024 £
Turnover	4	11,889,424	13,344,929
Cost of sales		(5,492,904)	(7,193,088)
Gross profit		6,396,520	6,151,841
Administrative expenses		(5,195,614)	(4,735,957)
Operating profit		1,200,906	1,415,884
Interest receivable and similar income	6	4,104	14
Interest payable and similar expenses	7	(782,922)	(741,950)
Profit before tax		422,088	673,948
Tax on profit	8	(177,380)	(169,737)
Profit for the financial year		244,708	504,211
Other comprehensive income for the year			
Adjustments to the fair value of financial assets		-	14,600,000
Tax relating to other comprehensive income		-	(3,663,750)
Total comprehensive income for the year		244,708	11,440,461

The notes on pages 12 to 25 form part of these financial statements.

HFD DATAVITA LIMITED
REGISTERED NUMBER: SC467509

BALANCE SHEET
AS AT 30 JUNE 2025

	Note	2025 £	2024 £
Fixed assets			
Tangible assets	9	65,046,301	63,033,580
Current assets			
Stocks	10	47,543	47,543
Debtors: amounts falling due after more than one year	11	-	28,214,721
Debtors: amounts falling due within one year	11	30,523,827	7,358,106
Cash at bank and in hand	12	5,126,861	1,018,286
		<u>35,698,231</u>	<u>36,638,656</u>
Creditors: amounts falling due within one year	13	(8,867,947)	(14,866,123)
Net current assets		<u>26,830,284</u>	<u>21,772,533</u>
Total assets less current liabilities		<u>91,876,585</u>	<u>84,806,113</u>
Creditors: amounts falling due after more than one year	14	(23,827,419)	(17,734,616)
Provisions for liabilities			
Deferred tax	16	(14,014,350)	(13,281,389)
Net assets		<u><u>54,034,816</u></u>	<u><u>53,790,108</u></u>
Capital and reserves			
Called up share capital	17	29,000,001	29,000,001
Revaluation reserve	18	37,407,949	37,407,949
Profit and loss account	18	(12,373,134)	(12,617,842)
		<u><u>54,034,816</u></u>	<u><u>53,790,108</u></u>

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

Mr W D Hill

Director

Date: 6 March 2026

The notes on pages 12 to 25 form part of these financial statements.

HFD DATAVITA LIMITED

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2025

	Called up share capital £	Revaluation reserve £	Profit and loss account £	Total equity £
At 1 July 2024	29,000,001	37,407,949	(12,617,842)	53,790,108
Comprehensive income for the year				
Profit for the year	-	-	244,708	244,708
Total comprehensive income for the year	-	-	244,708	244,708
Total transactions with owners	-	-	-	-
At 30 June 2025	29,000,001	37,407,949	(12,373,134)	54,034,816

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Called up share capital £	Revaluation reserve £	Profit and loss account £	Total equity £
At 1 July 2023	29,000,001	26,471,699	(13,122,053)	42,349,647
Comprehensive income for the year				
Profit for the year	-	-	504,211	504,211
Adjustments to fair value of financial assets	-	14,600,000	-	14,600,000
Tax relating to other comprehensive income	-	(3,663,750)	-	(3,663,750)
Other comprehensive income for the year	-	10,936,250	-	10,936,250
Total comprehensive income for the year	-	10,936,250	504,211	11,440,461
At 30 June 2024	29,000,001	37,407,949	(12,617,842)	53,790,108

The notes on pages 12 to 25 form part of these financial statements.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

1. General information

HFD Datavita Limited (Company number: SC467509) is a private company limited by shares incorporated in Scotland. The registered office is 177 Bothwell Street, Glasgow, Scotland, G2 7ER.

The principal activity of the company continued to be that of the provision of co-location, connect and cloud infrastructure services to organisations across the United Kingdom. The company owns and operates data centres in the UK.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The Company's functional and presentational currency is GBP.

The financial statements for the current period cover the period from 1 July 2024 to 30 June 2025 utilising the 7 day variation to statutory year end for administrative purposes. The prior period accounts are drawn up for the period from 1 June 2023 to 30 June 2024.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgement in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial reporting standard 102 - reduced disclosure exemption

This company is a qualifying entity for the purpose of FRS 102, being a member group where the parent of that group prepares publicly available consolidated financial statements, including this company, which are intended to give a true and fair view of the assets, liabilities, financial position and profit or loss of the group. The company has therefore taken advantage of exemptions from the following disclosure requirements:

- Section 7 'Statement of Cash Flows': Presentation of a statement of cash flow and related notes and disclosures;
- Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instrument Issues': Interest income/expense and net gains/losses for each category of financial instrument; basis of determining fair values; details of collateral, loan defaults or breaches, details of hedges, hedging fair value changes recognised in profit or loss and in other comprehensive income;
- Section 33 'Related Party Disclosures': Compensation for key management personnel.

The information is included in the consolidated financial statements of HFD Holdco Limited as at 30 June 2025 and these consolidated financial statements may be obtained from Companies House.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

2. Accounting policies (continued)

2.3 Going concern

The directors are required to prepare the statutory financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business. In satisfaction of this responsibility the directors have considered the group's ability to meet its liabilities as they fall due.

The company meets its day to day working capital requirements through its day to day trading. The company closely monitors and manages its funding position and liquidity risk throughout the year to ensure that it has access to sufficient funds to meet forecast cash requirements.

In assessing the going concern position of the company, the directors have prepared detailed projections/forecasts to 2030 and a 35 year long range plan. The long range plan includes significant capital expenditure required to expand the company's operating capacity. As disclosed in note 20 of these financial statements, the company has entered into a temporary £25m loan finance agreement to support the company with planned capital expenditure to increase the power capacity at its Chapelhall Datacentre site. The temporary agreement is a short term bridging facility that will allow the company to meet its obligations in the short term and allow time for negotiations over a longer term finance facility to be concluded. In the unlikely event that a successful conclusion is not achieved on the longer term finance facility, the directors have satisfied themselves that sufficient funding will be available by strategic partners and that they have the means to provide such funding. The financial statements have been prepared on a going concern basis which assumes that the company will continue in operational existence for the foreseeable future. Turnover continues to grow and the directors expect the company to continue to achieve profitability in the future.

The directors therefore believe it is appropriate to prepare the financial statements on a going concern basis.

2.4 Revenue

Turnover is recognised at the fair value of the consideration received or receivable for goods and services provided in the normal course of business, and is shown net of VAT and other sales related taxes. The fair value of consideration takes into account trade discounts, settlement discounts and volume rebates.

The turnover shown in the profit and loss account represents amounts receivable during the year in respect of co-location, connect, cloud infrastructure and related services, (exclusive of Value Added Tax) and is recognised on the provision of these services.

2.5 Interest income

Interest income is recognised in the Statement of Comprehensive Income using the effective interest method.

2.6 Finance costs

Finance costs are charged to the Statement of Comprehensive Income over the term of the debt using the effective interest method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

2. Accounting policies (continued)

2.7 Current and deferred taxation

The tax expense for the year comprises current and deferred tax. Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the balance sheet date in the countries where the Company operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the balance sheet date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

2.8 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Freehold property, comprising data centres, is held under the revaluation model and is stated at fair value at the date of valuation less subsequent accumulated depreciation and any accumulated impairment losses, in accordance with Section 17 of FRS 102. Properties are revalued with sufficient regularity to ensure that the carrying amount does not differ materially from fair value. Any revaluation surplus is recognised in other comprehensive income and accumulated in equity within a revaluation reserve, except to the extent that it reverses a revaluation deficit previously recognised in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025

2. Accounting policies (continued)

2.8 Tangible fixed assets (continued)

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Freehold property	- straight line over 75 years
Short-term leasehold property	- at varying rates on cost
Plant and computer equipment	- 14%- 20% on cost
Other fixed assets	- 25% on cost

Assets under construction are not depreciated until the asset is available for use and then reallocated to the appropriate category.

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in the Statement of Comprehensive Income.

2.9 Revaluation of tangible fixed assets

Individual freehold and leasehold properties are carried at current year value at fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. Revaluations are undertaken with sufficient regularity to ensure the carrying amount does not differ materially from that which would be determined using fair value at the balance sheet date.

Fair values are determined from market based evidence normally undertaken by professionally qualified valuers.

Revaluation gains and losses are recognised in other comprehensive income unless losses exceed the previously recognised gains or reflect a clear consumption of economic benefits, in which case the excess losses are recognised in the Statement of Comprehensive Income.

2.10 Stocks

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each balance sheet date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in the Statement of Comprehensive Income.

2.11 Debtors

Short-term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025

2. Accounting policies (continued)

2.12 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours.

2.13 Creditors

Short-term creditors are measured at the transaction price. Other financial liabilities, including bank loans, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method.

2.14 Provisions for liabilities

Provisions are recognised when an event has taken place that gives rise to a legal or constructive obligation, a transfer of economic benefits is probable and a reliable estimate can be made.

Provisions are measured as the best estimate of the amount required to settle the obligation, taking into account the related risks and uncertainties.

Increases in provisions are generally charged as an expense to profit or loss.

2.15 Financial instruments

The Company only enters into basic financial instrument transactions that result in the recognition of financial assets and liabilities like trade and other debtors and creditors, loans from banks and other third parties and loans to related parties.

Debt instruments (other than those wholly repayable or receivable within one year), including loans and other accounts receivable and payable, are initially measured at present value of the future cash flows and subsequently at amortised cost using the effective interest method. Debt instruments that are payable or receivable within one year, typically trade debtors and creditors, are measured, initially and subsequently, at the undiscounted amount of cash or other consideration expected to be paid or received. However, if the arrangements of a short-term instrument constitute a financing transaction, like the payment of a trade debt deferred beyond normal business terms or in case of an out-right short-term loan that is not at market rate, the financial asset or liability is measured, initially at the present value of future cash flows discounted at a market rate of interest for a similar debt instrument and subsequently at amortised cost, unless it qualifies as a loan from a director in the case of small company, or a public benefit entity concessionary loan.

Financial assets that are measured at cost and amortised cost are assessed at the end of each reporting period for objective evidence of impairment. If objective evidence of impairment is found, an impairment loss is recognised in the Consolidated Statement of Comprehensive Income.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

3. Judgements in applying accounting policies and key sources of estimation uncertainty

In the application of the company's accounting policies, the Directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Residual value

An independent valuation of land and buildings was undertaken in March 2021 by a RICS regulated practice on a market value basis. The valuation conformed to International Valuation Standards and was based on recent market data transactions performed on arm's length terms as at March 2021. The directors valuation was based on a desktop valuation provided by a third party.

In conjunction with the 2021 valuation report, the directors have reviewed current market data and conditions to revalue the land and buildings, resulting in an uplift to £53,000,000. This information has been utilised by management to determine the carrying value of land and buildings in these financial statements as of 30 June 2025. Depreciation was initially charged based on a residual value of £18,311,460 (2024: £9,150,000), which has since been reversed following the uplift. As the facility is not yet operating at full capacity, the directors consider the net book value to be representative of the residual value as of 30 June 2025.

Subsequent to the year end, a professional valuation of Fortis Data Centre was undertaken by Knight Frank on 12 December 2025. The valuation concluded an uplift in the asset's market value, resulting in a revised valuation of £69,600,000 as at the valuation date. As this valuation was performed after 30 June 2025, no uplift has been recognised in the financial statements for the year ended 30 June 2025.

HFD DATAVITA LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 30 JUNE 2025

4. Turnover

An analysis of turnover by class of business is as follows:

	2025 £	2024 £
Co-Locate	4,365,071	4,786,392
Connect	1,593,908	3,161,489
Cloud	4,880,756	4,078,490
Datacentre Services	932,564	1,243,261
Generator Services	117,125	75,297
	<u>11,889,424</u>	<u>13,344,929</u>

All turnover arose within the United Kingdom.

5. Employees

Staff costs were as follows:

	2025 £	2024 £
Wages and salaries	1,646,143	1,790,232
Social security costs	290,383	246,569
Cost of defined contribution scheme	101,953	85,525
	<u>2,038,479</u>	<u>2,122,326</u>

The average monthly number of employees, including the directors, during the year was as follows:

	2025 No.	2024 No.
Employees	<u>42</u>	<u>35</u>

Contractually all employees of HFD Datavita Limited sit within HFD Payroll Limited.

Remuneration costs were borne by HFD Payroll Limited and recharged to HFD Datavita Limited.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

6. Interest receivable

	2025 £	2024 £
Other interest receivable	<u>4,104</u>	<u>14</u>

7. Interest payable and similar expenses

	2025 £	2024 £
Bank interest payable	-	17
Loans from group undertakings	739,284	710,671
Finance leases and hire purchase contracts	43,638	31,262
	<u>782,922</u>	<u>741,950</u>

8. Taxation

	2025 £	2024 £
Corporation tax		
Current tax on profits for the year	-	260,845
Adjustments in respect of previous periods	(555,581)	-
	<u>(555,581)</u>	<u>260,845</u>
Total current tax	<u>(555,581)</u>	<u>260,845</u>
Deferred tax		
Origination and reversal of timing differences	177,380	(91,108)
Adjustments in respect of previous periods	555,581	-
	<u>732,961</u>	<u>(91,108)</u>
Total deferred tax	<u>732,961</u>	<u>(91,108)</u>
Tax on profit	<u>177,380</u>	<u>169,737</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

8. Taxation (continued)**Factors affecting tax charge for the year**

The tax assessed for the year is lower than (2024 - *lower than*) the standard rate of corporation tax in the UK of 25% (2024 - 25%). The differences are explained below:

	2025 £	2024 £
Profit on ordinary activities before tax	<u>422,088</u>	<u>673,948</u>
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2024 - 25%)	105,522	168,487
Effects of:		
Expenses not deductible for tax purposes, other than goodwill amortisation and impairment	6,286	1,250
Fixed asset differences	65,572	-
Adjustments to tax charge in respect of prior periods	(555,581)	-
Adjustments to tax charge in respect of previous periods - deferred tax	555,581	-
Capital gains	-	3,663,750
Deferred tax (charged)/credited directly to STRGL	-	(3,663,750)
Total tax charge for the year	<u>177,380</u>	<u>169,737</u>

Factors that may affect future tax charges

There were no factors which may affect future tax charges.

HFD DATAVITA LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025

9. Tangible fixed assets

	Freehold land and buildings £	Leasehold land and buildings £	Assets under construction £	Plant and Computer equipment £	Other fixed assets £	Total £
Cost or valuation						
At 1 July 2024	53,055,000	5,738,826	461,504	6,295,694	361,307	65,912,331
Additions	-	-	1,758,415	1,688,511	102,697	3,549,623
Disposals	-	-	-	-	(64,390)	(64,390)
			2,219,919			
At 30 June 2025	53,055,000	5,738,826		7,984,205	399,614	69,397,564
Depreciation						
At 1 July 2024	-	-	-	2,772,993	105,758	2,878,751
Charge for the year	463,247	262,287	-	1,160,089	99,770	1,985,393
Disposals	-	-	-	-	(49,634)	(49,634)
On revalued assets	(463,247)	-	-	-	-	(463,247)
			-			
At 30 June 2025	-	262,287		3,933,082	155,894	4,351,263
Net book value						
At 30 June 2025	53,055,000	5,476,539	2,219,919	4,051,123	243,720	65,046,301
			461,504			
At 30 June 2024	53,055,000	5,738,826		3,522,701	255,549	63,033,580

The net book value of assets held under finance leases or hire purchase contracts, included above, are as follows:

	2025 £	2024 £
Plant and Computer equipment	1,778,040	1,473,599

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

A professional third-party desktop valuation of the Fortis Datacentre was conducted by CBRE, RICS Registered Valuers, in February 2024 resulting in a valuation of £53,000,000. The directors have concluded that this updated valuation represents the fair value of Fortis Datacentre and is appropriate as of 30 June 2025.

If the above revalued assets were measured using cost mode, the carrying amount would be £3,161,000 (2024: £3,161,000)

As disclosed in note 20, a valuation was obtained in December 2025 that valued the datacentre at £69,600,000.

10. Stocks

	2025	2024
	£	£
Stock	<u>47,543</u>	<u>47,543</u>

11. Debtors

	2025	2024
	£	£
Due after more than one year		
Prepayments and accrued income	<u>-</u>	<u>28,214,721</u>

	2025	2024
	£	£
Due within one year		
Trade debtors	566,136	2,491,523
Amounts owed by group undertakings	426,002	1,972,799
Amounts owed by joint ventures and associated undertakings	299,569	714,930
Other debtors	68,384	630,165
Prepayments and accrued income	29,163,736	1,548,689
	<u>30,523,827</u>	<u>7,358,106</u>

12. Cash and cash equivalents

	2025	2024
	£	£
Cash at bank and in hand	<u>5,126,861</u>	<u>1,018,286</u>

HFD DATAVITA LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025

13. Creditors: Amounts falling due within one year

	2025 £	2024 £
Trade creditors	686,695	2,462,015
Amounts owed to group undertakings	3,001,655	9,469,608
Corporation tax	-	260,845
Other taxation and social security	49,117	-
Obligations under finance lease and hire purchase contracts	813,157	597,569
Other creditors	25,289	21,658
Accruals and deferred income	4,292,034	2,054,428
	<u>8,867,947</u>	<u>14,866,123</u>

14. Creditors: Amounts falling due after more than one year

	2025 £	2024 £
Net obligations under finance leases and hire purchase contracts	701,097	855,505
Amounts owed to group undertakings	23,126,322	16,879,111
	<u>23,827,419</u>	<u>17,734,616</u>

Interest is accrued on loan amounts due from group undertakings at a rate of the Bank of England base rate plus 1.75%.

15. Hire purchase and finance leases

Minimum lease payments under hire purchase fall due as follows:

	2025 £	2024 £
Within one year	813,157	597,569
Between 1-5 years	701,097	855,505
	<u>1,514,254</u>	<u>1,453,074</u>

HFD DATAVITA LIMITED

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025

16. Deferred taxation

	2025 £
At beginning of year	(13,281,389)
Charged to profit or loss	(177,380)
Over/(under) provided	(555,581)
At end of year	<u>(14,014,350)</u>

The deferred taxation balance is made up as follows:

	2025 £	2024 £
Fixed asset timing differences	(2,303,291)	(793,740)
Losses and other deductions	776,591	-
Capital gains/(losses)	(12,487,650)	(12,487,649)
	<u>(14,014,350)</u>	<u>(13,281,389)</u>

17. Share capital

	2025 £	2024 £
Allotted, called up and fully paid		
29,000,001 (2024 - 29,000,001) Ordinary shares of £1.00 each	<u>29,000,001</u>	<u>29,000,001</u>

18. Reserves

Revaluation reserve

The revaluation reserve represents the cumulative gain or loss on the revaluation of tangible fixed asset properties and related deferred tax.

Profit and loss account

The profit and loss reserves represents cumulative profits and losses, less any dividends paid.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2025**

19. Related party transactions

The company has taken advantage of the exemption available in FRS 102 section 33 whereby it has not disclosed transactions with the immediate parent or any wholly owned subsidiary undertaking of the group.

During the year, the company entered into transactions with related parties in the normal course of business. These transactions included:

Sales to related parties: £18,960 (2024: £596,061)

Purchases from related parties: £3,219 (2024: £41,172)

Amounts receivable from related parties at year-end: £299,569 (2024: £714,930)

All transactions were conducted on an arm's length basis and on normal commercial terms. No guarantees were given or received in respect of related party balances, and no provisions have been made for doubtful debts in respect of amounts owed by related parties.

20. Post balance sheet events

A professional valuation of Fortis Data Centre was undertaken by Knight Frank on 12 December 2025.

The valuation concluded an uplift in the asset's market value, resulting in a revised valuation of £69,600,000 as at the valuation date.

The Company entered into a capital commitment of approximately £112.0 million in respect of the expansion of its data centre facilities. As this commitment was entered into after the reporting date, no amounts have been recognised in these financial statements

On 2 March 2026, subsequent to the year ended 30 June 2025, the Company entered into a £25m finance agreement comprising of a £20m term loan facility and a £5m uncommitted facility.

Amounts drawn bear interest at 4.25% + Bank of England Base Rate and are repayable in 4 months..

As the facility was entered into and drawn after the reporting date and does not relate to conditions existing at that date, it is treated as a non-adjusting post balance sheet event under Section 32 of FRS 102. No adjustment has been made to these financial statements.

21. Controlling party

The controlling party and ultimate parent at the reporting date is HFD Holdco Limited which is the largest and smallest group of companies for which group financial statements are prepared. Copies of group financial statements are available to the public from Companies House.

The Hill 2011 Trust and Alexander Trust and their members are considered to be the ultimate controlling party due to their majority shareholding in HFD Holdco Limited.

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.